CFO Executive Decision Memo: Resolving the INR 38.4L Parental Premium & Cutoff Conflict

1. Executive Problem Statement

Switching from LegacyCare to NovaShield Health introduces an annual premium increase of INR 38,40,000 (14% hike on parental coverage). Simultaneously, Finance scheduled the October payroll deduction lock for October 20, while IT's SAML SSO portal goes live on October 23, creating a 3-day gap where 142 employees cannot confirm their parental riders.

2. Quantified Decision Matrix (3 Options for CFO/CEO Approval)

OPTION A (100% Company Absorption): Company absorbs all INR 38.4 Lakhs from Q4 operating margin. Zero increase to employee deductions. Direct EBITDA impact: -INR 19.2 Lakhs after applying the INR 19.2L LegacyCare refund.

OPTION B (Recommended Hybrid Buffer + 5-Day Grace Window): Apply the INR 19,20,000 LegacyCare pro-rata refund to cover 50% of the hike, fund the remaining INR 19,20,000 from the unallocated Q4 Staff Welfare Reserve (CC-102), freeze employee monthly parental co-pay at INR 600/parent for FY26-27, and instruct Finance & NovaShield to extend the payroll/portal opt-in cutoff to October 25, 2026.

OPTION C (100% Employee Pass-Through): Pass the entire INR 38.4L hike to employees (increasing deduction from INR 600 to INR 920/parent). High attrition risk flagged in Engineering and Operations.